Maven Toys – Pricing Strategy Analysis

A Data-Driven Business Case Study

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Executive Summary

Maven Toys operates **50 retail stores** across 29 Mexican cities generating $14.4M in revenue between January 2022 and September 2023. While the business shows strong and consistent YoY growth – with March 2023 reaching +49.88% YoY – a product-level margin analysis reveals a **significant pricing opportunity**. **Three distinct pricing strategies have been identified that could meaningfully improve total profit without requiring new store openings or major operational changes. This case study presents those strategies, the data behind them, and the risks of each approach.**

Business Overview

Maven Toys is a Mexican toy retail chain operating across four location types – Downtown (29 stores), Commercial (12), Residential (6) and Airport (3). The business sells 35 products across 5 categories: Toys, Electronics, Art & Crafts, Games and Sports & Outdoors.

Key business metrics (Jan 2022 – Sep 2023):

Metric	Value
Total Revenue	$14.4M
Total Profit	$4.0M
Overall Margin	27.8%
Total Stores	50
Total Products	35
Best Month	December 2022 ($877k)

The business is growing all 2023 months and shows positive YoY growth versus 2022. However, growth in revenue does **not always translate proportionally to growth in profit.** This is the core tension this case study addresses.

Data & Methodology

Data source: Maven Analytics free-use toy store dataset

Pipeline: CSV → PostgreSQL → dbt (staging → intermediate → marts) → analysis

Docker used for containers and Airflow for pipeline orchestration.

Models used:

- fct_sales – 829,262 transaction rows with revenue, cost, profit and margin
- fct_product_performance – aggregated product metrics with revenue and profit rankings
- fct_monthly_revenue – monthly aggregations with YoY growth calculations
- fct_inventory_risk – inventory levels with risk classification

Key calculated metrics:

- Revenue = units × product price
- Profit = revenue − (units × product cost)
- Margin % = profit / revenue × 100

Key Finding – Revenue Does Not Equal Profit

A product-level analysis of all 35 products reveals a critical insight: **the products driving the most revenue are not always the products driving the most profit.**

The scatter plot of revenue vs margin reveals four distinct quadrants:

Stars – High Revenue, High Margin These are the core profit drivers. **Protect and potentially grow pricing carefully.**

- Colorbuds (Electronics) – $2.07M revenue, 45.86% margin, $834k profit

Cash Cows – High Revenue, Low Margin This drive volume but contribute less profit per unit. Pricing experiment opportunity.

- Lego Bricks – high revenue rank, low margin
- Action Figure – high volume, margin below category average

Hidden Gems – Lower Revenue, High Margin These are underperforming their profit potential. Volume opportunity through pricing or marketing.

- Jenga – strong margin but low revenue rank
- Several Games category products

Dogs – Low Revenue, Low Margin Candidates for pricing review or potential discontinuation.

The Three Pricing Strategies

Strategy 1 – Price Increase on Cash Cow products (Lego Bricks)

Lego Bricks generates significant revenue but sits in the bottom tier for profit margin. The product has strong brand recognition and consistent demand – characteristics of low-price elasticity.

Recommendation: Test a 5-8% price increase on Lego Bricks across a subset of stores (pilot in 5 Downtown locations). Measure volume impact over 8 weeks. If volume decline is less than 5% – roll out across all stores.

Expected outcome: **If volume is maintained, a 7% price increase on a high-volume product could add approximately $20-30k in annual profit.**

Risk: **Lego is a branded product. Customers may be aware of standard market pricing and resist the increase. Competitive pricing research required before implementation.**

Strategy 2 – Incremental Price Optimization on Star Products (Colorbuds)

Colorbuds is Maven Toys' standout product – $834k profit, 45.86% margin, highest profit rank. It is clearly the most valuable product in the portfolio.

Recommendation: Test a careful 3-5% incremental price increase on Colorbuds. The high margin suggests pricing power exists. Even a small increase on the highest-volume profit driver compounds significantly.

Expected outcome: **A 5% price increase on Colorbuds – assuming volume holds – could add $40-50k in annual profit.**

Risk: **Colorbuds is already the most profitable product. Overpricing risks alienating the customer segment driving this volume. Increases should be incremental and monitored closely. Also – Colorbuds has only 0.2 months of stock remaining. Pricing strategy is irrelevant if the product is out of stock. Restock immediately.**

Strategy 3 – Price Reduction on Hidden Gems (Jenga)

Jenga has a strong profit margin but low revenue rank – meaning it sells well per unit but doesn't sell enough units. This suggests the current price may be suppressing demand.

Recommendation: Test a 10-15% price reduction on Jenga to stimulate volume. The margin is strong enough to absorb the reduction while still generating healthy profit per unit – and the volume increase should more than compensate.

Expected outcome: **If a 12% price reduction drives a 25%+ volume increase – total profit improves. The break-even volume increase required is calculable from the margin data.**

Risk: **Price reductions are easy to implement and hard to reverse. Customers anchor to the lower price. Only proceed if volume data supports the hypothesis.**

The Broader Pricing Framework

These three strategies represent a systematic approach to **portfolio pricing optimization**:

High margin + High revenue → **STAR** → **protect, small incremental increases**
High margin + Low revenue → **GEM** → **reduce price to drive volume**
Low margin + High revenue → **COW** → **increase price to improve margin**
Low margin + Low revenue → **DOG** → **review, reprice or discontinue**

Applied consistently across all 35 products this framework could meaningfully shift Maven Toys' overall margin from 27.8% toward **32-35%** without opening a single new store.

Additional Strategic Opportunity – Airport Expansion

While pricing optimization is the focus of this case study one structural finding deserves mention. **Airport stores generate the highest average revenue per store ($429k)** despite only having 3 locations – significantly outperforming Downtown ($283k per store), Commercial ($273k) and Residential ($276k).

If the per-store efficiency of Airport locations holds at scale – expanding from 3 to 8-10 Airport locations represents a significant revenue opportunity.

Critical caveat: This analysis does not include store operating costs. Airport locations typically carry higher rent, staffing and operational costs. **A full ROI analysis including operating costs is required before any expansion decision.** This is the most important data gap in this analysis.

Risks & Limitations

Risk	Description	Mitigation
No operating cost data	Cannot calculate true store profitability	**Collect store-level P&L data**
No competitor pricing data	Pricing recommendations made without market context	**Commission competitive pricing research**
Price elasticity unknown	Volume impact of price changes is estimated	**Run controlled pilot tests before full rollout**
Inventory crisis	20/35 products CRITICAL – $210k at risk	**Restock before any pricing changes**
Colorbuds concentration	20%+ of total profit from one product	**Diversify profit drivers urgently**
Seasonal effects	December peak may distort annual metrics	**Analyze seasonality before pricing changes**

Conclusion

Maven Toys is a growing, profitable business with a clear pricing opportunity. The data shows that revenue growth alone is not enough – **margin management is the lever that will drive profit growth in the next phase of the business.**

Three concrete pricing strategies have been identified – price increase on Cash Cows, incremental optimization on Stars, and volume-driving reductions on Hidden Gems. Together these strategies, if piloted carefully and rolled out based on evidence, could improve overall margin by 4-7 percentage points without operational expansion.

The most urgent action however is not pricing – it is **restocking**. With 20 out of 35 products at critical inventory levels and $210,375 of inventory value at risk, the business is at risk of missing its peak December trading period entirely. **No pricing strategy delivers results if the shelves are empty.**